

IMPORTANCE OF FSA

Now that you know what is financial statement analysis, it is also essential to know its importance. Why do so many people across financial domain stress on this? Well, Financial statement analysis helps decision makers understand three key aspects:

1

The past performance of the entity:



2

Detailed breakdown of company's financial metrics and KPIs and its performance over time.



3

Indicators about the company's future performance



1. The past performance of the entity:

Financial data is always viewed in comparison to past data. This helps us understand how the company and its numbers have changed and evolved over time.

Comparison	
Present Data	Past Data
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2. Detailed breakdown of company's financial metrics and KPIs and its performance:

Each important financial metric is broken into detailed finer parts. This helps entities understand the root cause of problems if any.

Indicators about the company's future performance

FSA forms the base of activities like forecasting and valuations. We can build on top of such Financial Statement analysis to forecast the company's future performance and even go on to build a complete financial model with forecasting.

This helps you understand the past, present and future of the business.